

continue to thrive—at least for several more years before this gap closes due to technology changes or more intense competition.

For GEICO insurance, the arbitrage spread is its focus on selling auto insurance policies without agents or a branch office network. Unlike Allstate or State Farm, it does not have a captive branch and agent network. State Farm and Allstate have thousands of neighborhood agents all over the United States. Each of these offices is typically independently owned by a commissioned agent. This distribution overhead costs at least 15 percent of the premiums that State Farm and Allstate charge. GEICO has a near-permanent 15 percent cost advantage—read arbitrage spread—compared to most auto insurers.

GEICO sells all its policies directly out of inbound call centers staffed by paid GEICO employees and through geico.com. Both channels cost dramatically less than putting up thousands of brick and mortar storefronts owned by agents—each of whom expect to make at least six, seven, or eight figures annually. The Internet has helped move a growing percentage of sales over geico.com. A sale over geico.com costs dramatically less than a sale over the telephone, further increasing GEICO's arbitrage spread. In fact, GEICO's arbitrage spread has been steadily increasing over the past 70 years. In the early decades of GEICO's existence, the telephone was not ubiquitous. The primary channel was U.S. mail. As the telephone became commonplace, it became the primary channel.

Until the 1980s, phone calls were still relatively expensive. As these costs steadily declined, GEICO's arbitrage spread increased. At one point, GEICO was likely paying over 25 cents a minute for its toll-free 800 service. Today, I doubt if it costs the company even 1 cent a minute. Its major cost for telephone sales is the staff of thousands of GEICO counselors. Even these could be reduced painlessly through attrition while opening a call center or two in India—increasing the arbitrage spread even more.

In a decade or two, most of GEICO's transactions are likely to be over the Internet at costs approaching zero, and the arbitrage spread will widen further. State Farm and Allstate did not derive these same cost benefits from the Internet or the telephone. Since the cost of brick and mortar space, as